

BUSINESS PRESENTATION

2025

# BlackBerry

v1.0



# TEAM MEMBER

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Question 1:

# Is an impairment necessary for BlackBerry?

- Yes.
- The Evidence: The Z10 and Q10 models were failing to gain traction, with market share falling to 0.6%.
- It will also affect the decisions of the Investors in this Company. Equity will decline, and the share price will fall further.
- The Value Gap: The production costs (\$600–\$620) far exceeded what the market was willing to pay (\$160–\$275). When the cost to hold and sell an item is higher than its expected selling price, the asset is considered "impaired," and its value must be reduced on the books immediately to reflect reality.



# Magnitude of the impairment adjustment?

- Z10 Calculation:
  - Loss per unit:  $\$600 - (\$160 - \$12) = \$452$
  - Total Z10 Loss:  $1,350,600 \text{ units} \times \$452 = \$610,471,200$
- Q10 Calculation:
  - Loss per unit:  $\$620 - (\$265 - \$12) = \$367$
  - Total Q10 Loss:  $1,303,900 \text{ units} \times \$367 = \$478,531,300$
- Total Financial Impact: The combined magnitude is \$1,089,002,500 (approximately \$1.08 billion). This exceeds claimed impairment of \$934 million, suggesting the situation is more dire than reported.
- Additional data backing the impairment is the market share collapse, sharp decline in the hardware revenue and also weak competition in the market because of Apple and windows share.

Question 3

Effect on balance sheet and income statement

|                                               |            |           |           |
|-----------------------------------------------|------------|-----------|-----------|
| <b>Assets</b>                                 |            |           |           |
| <b>Current</b>                                |            |           |           |
| Cash and cash equivalents                     | \$ 1,579   | \$ 1,549  | \$ 1,527  |
| Short-term investments                        | 950        | 1,105     | 247       |
| Accounts receivable, net                      | 972        | 2,353     | 3,062     |
| Other receivables                             | 152        | 272       | 496       |
| Inventories                                   | 750 1,836  | 603       | 1,027     |
| Income tax receivable                         | 373        | 597       | 135       |
| Other current assets                          | 505        | 469       | 365       |
| Deferred income tax asset                     | 73         | 139       | 197       |
| Assets held for sale                          | 209        | 354       | 15        |
|                                               | 6,649      | 7,441     | 7,071     |
| <b>Long-term investments</b>                  | 129        | 221       | 337       |
| <b>Property, plant and equipment, net</b>     | 942        | 2,073     | 2,733     |
| <b>Goodwill</b>                               | -          | -         | 304       |
| <b>Intangible assets, net</b>                 | 1,424      | 3,430     | 3,286     |
|                                               | \$ 9,144   | \$ 13,165 | \$ 13,731 |
| <b>Liabilities</b>                            |            |           |           |
| <b>Current</b>                                |            |           |           |
| Accounts payable                              | \$ 474     | \$ 1,064  | \$ 744    |
| Accrued liabilities                           | 1,214      | 1,854     | 2,382     |
| Deferred revenue                              | 580        | 542       | 263       |
|                                               | 2,268      | 3,460     | 3,389     |
| <b>Long-term debt</b>                         | 1,627      | -         | -         |
| <b>Deferred income tax liability</b>          | 32         | 245       | 232       |
| <b>Income taxes payable</b>                   | -          | -         | 10        |
|                                               | 3,927      | 3,705     | 3,631     |
| <b>Shareholders' equity</b>                   |            |           |           |
| Capital stock and additional paid-in capital  | 2,418      | 2,431     | 2,446     |
| Treasury stock                                | (179)      | (234)     | (299)     |
| Retained earnings                             | 1906 2,986 | 7,267     | 7,913     |
| Accumulated other comprehensive income (loss) | (8)        | (4)       | 40        |
|                                               | 5,217      | 9,460     | 10,100    |
|                                               | \$ 9,144   | \$ 13,165 | \$ 13,731 |

|                                                      |                |          |           |
|------------------------------------------------------|----------------|----------|-----------|
|                                                      | 2014           | 2013     | 2012      |
| <b>Revenue</b>                                       |                |          |           |
| Hardware and other                                   | \$ 3,880       | \$ 6,902 | \$ 14,031 |
| Service and software                                 | 2,933          | 4,171    | 4,392     |
|                                                      | 6,813          | 11,073   | 18,423    |
| <b>Cost of Sales</b>                                 |                |          |           |
| Hardware and other                                   | 4,791          | 7,060    | 11,217    |
| Service and software                                 | 473            | 579      | 631       |
|                                                      | 5,264          | 7,639    | 11,848    |
| <b>Gross margin</b>                                  | 1,549          | 3,434    | 6,575     |
|                                                      | (1,080) → ~470 |          |           |
| <b>Operating income (loss)</b>                       |                |          |           |
| Investment income (loss)                             | (21)           | 15       | 21        |
| Income (loss) before income taxes                    | (5,592)        | (1,220)  | 1,518     |
| Provision for (recovery of) income taxes             | (1,311)        | (592)    | 347       |
| <b>Income (loss) from continuing operations</b>      | (4,281)        | (628)    | 1,171     |
| <b>Loss from discontinued operations, net of tax</b> | -              | (18)     | (7)       |
| <b>Net income (loss)</b>                             | \$ (4,281)     | \$ (646) | \$ 1,164  |

Net income (loss) → 4,281 + 1,080 = 5,361 million

Curent Asset → 6,649 - 1,080 = 5,569 million

Total Asset → 8,064 million